Enterprise HR Portal — Standard Operating Procedures (SOP)

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1. System Overview

The Enterprise HR Portal is a comprehensive workforce management platform built for Kuwait-based organizations. It integrates:

- **Leave Management** with Kuwait Labour Law-compliant calculations
- **Payroll Processing** with PIFSS (Social Insurance) integration
- **Attendance Tracking** (Web, Mobile, and Hardware-based)
- **Final Settlement (EOSB)** per Kuwait Labour Law Chapter IV
- **Finance Module** with GL mapping and JV generation
- **WPS Export** (NBK, KFH, BOUB, Gulf, Standard formats)
- **Performance Evaluation** with KPI-based scoring
- **Profit Sharing** bonus pool management
- **Bilingual UI** (English / Arabic) with RTL support

Technology Stack

Component	Technology
Frontend	React + TypeScript + Vite
Database	Supabase (PostgreSQL)
Auth	Supabase Auth + Role-based
Hosting	Configurable (Local / Cloud)

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2. User Roles & Access Matrix

2.1 Defined Roles

Role	Scope	Description
Admin	Global	Full system access, security & role management
Executive	Global	Strategic oversight, approvals, dashboards
HR Manager	Global	All HR operations, leave finalization, payroll
HR Officer	Global	HR operations support, compliance, mandoob
HR	Global	General HR functions
Payroll Manager	Finance	Payroll processing, settlement, WPS
Payroll Officer	Finance	Payroll support functions
Manager	Department	Team approvals, leave management
Mandoob	Operations	Government liaison, document tracking
Employee	Self	Personal profile, leave requests, attendance

2.2 Module Access Matrix

Module	Admin	Executive	HR Manager	HR Officer	Payroll Mgr	Manager	Employee
Dashboard	✅	✅	✅	✅	✅	✅	❌
Profile	✅	✅	✅	✅	✅	✅	✅
Attendance	✅	✅	✅	✅	✅	✅	✅
Leave Mgmt	✅	✅	✅	✅	✅	✅	✅
Approvals	✅	✅	✅	✅	✅	✅	❌
Directory	✅	❌	✅	✅	❌	✅	❌
Payroll	✅	✅	✅	❌	✅	❌	❌
Settlement	✅	❌	✅	❌	✅	❌	❌
Finance	✅	✅	✅	❌	✅	❌	❌
Compliance	✅	✅	✅	✅	❌	❌	❌
Admin Center	✅	❌	✅	✅	❌	❌	❌
Performance	✅	✅	✅	❌	❌	✅	❌
Profit Bonus	✅	✅	✅	❌	✅	❌	❌
User Mgmt	✅	❌	❌	❌	❌	❌	❌

> *[!NOTE] Access can be further customized per role via the **Security & Roles** module (Admin only). Database-level permissions override the default matrix above.*

3. Leave Management SOP

3.1 Leave Types

Type	Entitlement	Key Rules
Annual	30 days/year	Deducted from annual balance
Sick	Tiered (see §3.3)	Progressive deduction per Kuwait Labour Law
Emergency	Per company policy	Deducted from emergency balance
Maternity	Per Labour Law	Full pay entitlement
Hajj	21 days (one-time)	Minimum 2 years service; once per career
Marriage	Per policy	Special leave
Compassionate	Per policy	Bereavement leave
Paternity	Per policy	Father's childcare leave
Short Permission	8 hours/month	Hourly leave; max 8h per calendar month

3.2 Leave Status Lifecycle

```
graph LR
    A["Pending"] --> B["Manager_Approved"]
    B --> C["HR_Approved"]
    C --> D["Resumed"]
    D --> E["HR_Finalized"]
    E --> F{"Payroll Path"}
    F -->|Hub Payout| G["Paid"]
    F -->|Month-End| H["Pushed_To_Payroll"]

    A -->|Rejected| I["Rejected"]
    B -->|Rejected| I
    I -->|Re-opened| A

    style A fill:#fbbf24,color:#000
    style B fill:#60a5fa,color:#000
    style C fill:#818cf8,color:#000
    style D fill:#34d399,color:#000
    style E fill:#a78bfa,color:#000
    style G fill:#10b981,color:#fff
    style H fill:#6366f1,color:#fff
    style I fill:#ef4444,color:#fff
```

Status Definitions

Status	Meaning	Who Sets It

`Pending`	Submitted, awaiting manager review	Employee (auto)
`Pending_Manager`	Routed to direct manager	System (auto)
`Manager_Approved`	Manager approved, forwarded to HR	Manager
`HR_Approved`	HR approved, awaiting employee resumption	HR Manager / HR Officer
`Resumed`	Employee confirmed return to duty	Employee
`HR_Finalized`	HR finalized days; balance deducted	HR Manager
`Paid`	Settled via Hub Displacement (immediate payout)	Payroll
`Pushed_To_Payroll`	Deferred to standard monthly payroll cycle	Payroll
`Rejected`	Leave request rejected or reversed	Manager / HR / Admin

3.3 Sick Leave Deduction Tiers (Kuwait Labour Law)

The system implements progressive deduction based on **cumulative sick days used** in the current period:

Sick Day Range	Deduction Rate	Pay Rate
Days 1–15	0%	**Full Pay**
Days 16–30	25%	**75% Pay**
Days 31–45	75%	**25% Pay**
Days 46+	100%	**No Pay**

> *[!IMPORTANT] Sick leave deductions are calculated against **Basic Salary + Housing Allowance** only. Non-housing allowances are excluded during any leave period.*

3.4 Leave Day Calculation Rules

1. **Fridays** are excluded from leave day counts (not deducted from balance)
2. **Saturdays** inclusion depends on the employee's **work schedule** (5-day vs 6-day week)
3. **Public Holidays** falling within leave dates are excluded from counts
4. **Daily Rate** = `(Basic + Housing + Other Allowances) / 26` working days
5. **Leave Pay Base** = `Basic + Housing` only (non-housing allowances are excluded during leave)

3.5 Short Permission Rules

- Maximum **8 hours per calendar month**
- Minimum **1 business day lead time** required
- Deducted proportionally from Annual leave (8h = 1 day)
- Same-day requests are blocked

3.6 Hajj Leave Rules

- Employee must have **minimum 2 years of continuous service**
- Maximum **21 days** per request
- **One-time entitlement** — cannot be used again once taken
- System validates both conditions before allowing submission

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4. Payroll Processing SOP

4.1 Monthly Payroll Cycle

```
graph TD
    A["Select Period & Cycle"] --> B["Execute Period Audit"]
    B --> C["Draft Generated"]
    C --> D["HR Reviews Items"]
    D --> E["Finalize Payroll Run"]
    E --> F["Generate JV"]
    F --> G["Export WPS"]
    G --> H["Bank Transfer"]

    style C fill:#fbbf24,color:#000
    style E fill:#10b981,color:#fff
    style F fill:#6366f1,color:#fff
```

Step-by-Step

1. **Payroll Manager** navigates to **Payroll Console**
2. Selects **Cycle Architecture**: Monthly or Bi-Weekly
3. Selects **Audit Period**: Month and Year
4. Clicks **Execute Period Audit** — system generates a Draft payroll run
5. The Draft creates `payroll_items` for each active employee containing:
    - Basic Salary
    - Housing Allowance
    - Other Allowances
    - PIFSS Deduction (Kuwaiti employees only)
    - Leave Deductions
    - Overtime / Variable Compensation
    - Net Salary
6. HR/Payroll reviews and verifies each item
7. Click **Finalize** to lock the payroll run
8. Navigate to **Finance** to generate Journal Vouchers
9. Export **WPS file** for bank submission

4.2 Leave Payout Processing (Hub)

The Payroll Console includes a **Leave Settlement Hub** for processing leave payouts outside the regular monthly cycle.

Processing Paths

Path	Condition	Action
Hub Path (immediate)	Leave > 7 days OR straddles month-end	Immediate settlement; creates a Leave Run
Month-End Path (deferred)	Leave ≤ 7 days AND ends before 25th	Deferred to standard monthly payroll

Hub Path Logic

```
isShort = (leaveDays ≤ 7) AND (endDate before 25th of month)
isStraddle = endMonth ≠ startMonth

If isShort AND NOT isStraddle → Month-End Path
Otherwise → Hub Path (immediate payout)
```

4.3 Leave Payout Calculation

The system calculates leave payouts using a **bucket-based approach**:

Bucket 1: Pre-Leave Work Days

- Count working days from 1st of month to leave start date
- Exclude Fridays
- Pay = `workDays × dailyGrossFull`
- `dailyGrossFull = (Basic + Housing + Other Allowances) / 26`

Bucket 2: Leave Period Pay

- Count leave duration excluding Fridays
- Split across months if leave straddles month boundary
- For **Annual/Emergency**: Pay = `payableDays × dailyBasicPlusHousing`
- For **Sick Leave**: Apply tiered deduction (see §3.3)
- `dailyBasicPlusHousing = (Basic + Housing) / 26`

Bucket 3: Deductions

- **PIFSS**: `Basic × 11.5%` (Kuwaiti employees only)
- **Non-Housing Allowance Exclusion**: Non-housing allowances removed for leave days
- **Sick Leave Statutory Deduction**: Per tiered schedule

Net Total

```
Total = Max(0, Bucket1_WorkPay + Bucket2_LeavePay - PIFSS)
```

4.4 PIFSS (Social Insurance) Rates

Component	Rate	Applies To
Employee Contribution	11.5% of Basic	Kuwaiti only
Employer Contribution	Configurable	Kuwaiti only

4.5 WPS Export Formats

Bank Format	Fields
NBK / Standard	MOL_ID, Employer_ID, Civil_ID, Name, Bank_Code, IBAN, Net_Salary, Currency, Value_Date
KFH	Employee_ID, Civil_ID, Name, Bank, IBAN, Amount, Currency, Remarks
BOUB	Record_Type, Civil_ID, Name, Bank_ID, IBAN, Salary, Allowance, Deductions, Net
GULF	Seq, Civil_ID, Name, IBAN, Net, Description

4.6 Payroll Rollback

> *[!WARNING] Rollback operations permanently delete payroll run records and associated journal entries. Use with caution.*

Monthly Payroll Rollback

- Deletes the payroll run and all associated items for the specified period
- Available in **Admin Center** only

Leave Payout Rollback

- Deletes the Leave Run, payroll items, and journal entries
- Reverts the leave request status to `Rejected`
- Leave can then be re-opened and re-processed through the approval workflow

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5. Approval Workflow SOP

5.1 Leave Approval Workflow

Step	Actor	Action	Result Status
1	Employee	Submits leave request	`Pending`
2	Manager	Approves	`Manager_Approved`
2	Manager	Rejects	`Rejected`
3	HR	Approves (pre-approval)	`HR_Approved`
4	Employee	Resumes duty	`Resumed`
5	HR	Finalizes days & deducts balance	`HR_Finalized`
6	Payroll	Hub Payout or Month-End deferral	`Paid` or `Pushed_To_Payroll`

Re-opening Rejected Leaves

- Users with roles `Admin`, `HR`, `HR Manager`, `Executive`, `Manager`, `HR Officer`, `Payroll Manager`, `Payroll Officer`, or `Mandoob` can **Re-open** a rejected leave
- Re-opening sets the status back to `Pending` to re-enter the workflow

5.2 Overtime Approval Workflow

Step	Actor	Action	Result Status
1	System	Generates OT from attendance logs	`PENDING_MANAGER`
2	Manager	Approves	`PENDING_HR`
2	Manager	Rejects	`REJECTED`
3	HR	Acknowledges	`PENDING_PAYROLL`
4	Payroll	Processes to payroll	`APPROVED_FOR_PAYROLL`

Overtime Calculation Rules

- Standard shift = **8 hours**
- Any attendance clock exceeding 8 hours generates an overtime entry
- OT hours = `(clockOut - clockIn - 8h)`
- Created as `variable_compensation` with type `OVERTIME` and sub_type `Workday_OT`

5.3 Expense Claim Workflow

Step	Actor	Action	Result Status
1	Employee	Submits claim	`Pending_Manager`
2	Manager	Approves	`Pending_HR`
3	HR	Approves	`Pending_Payroll`
4	Payroll	Processes	`Approved`
5	Finance	Pays out	`Paid`

5.4 Profile Update Workflow

Step	Actor	Action	Result Status
1	Employee	Requests field change	`PENDING`
2	HR	Approves (auto-applies change)	`APPROVED`
2	HR	Rejects with reason	`REJECTED`

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6. Attendance Management SOP

6.1 Attendance Sources

Source	Method	Details
Web	Browser-based	GPS geolocation + office radius validation
Mobile	App-based	GPS geolocation + office radius validation
Hardware	Biometric device	ZKTeco integration with face/fingerprint

6.2 Attendance Worksheet Rules

The daily attendance worksheet classifies each day for each employee:

Status	Condition
On-Site	Attendance record exists with valid clock-in
Weekend	Friday (day 5 in JS Date)
Rest Day	Saturday for 5-day work week employees
On Leave	Active approved leave covering this date

Absent	No attendance record and not a weekend/holiday/leave
Holiday	Date matches a public holiday entry
Resumption Pending	On leave but has attendance logged (awaiting HR confirmation)

6.3 Office Location Geofencing

- Each office location has a defined `lat`, `lng`, and `radius` (in meters)
- Default radius: **250 meters**
- Mobile/Web clock-ins validate employee GPS coordinates against office radius
- Out-of-radius clock-ins are logged as **Off-Site**

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7. Final Settlement (EOSB) SOP

7.1 Calculation Method (Kuwait Labour Law)

The End-of-Service Benefits (EOSB / Indemnity) follow Kuwait Labour Law Chapter IV:

Service Tenure Calculation

```
totalServiceDays = (endDate - joinDate) - unpaidDays
tenureYears = totalServiceDays / 365
```

Indemnity Formula

Tenure	Rate
First 5 years	**15 days remuneration per year**
Beyond 5 years	**30 days remuneration per year**

```
Daily Rate = Total Remuneration / 26
First 5 Years = min(yearsOfService, 5) × 15 × dailyRate
Beyond 5 Years = max(0, yearsOfService - 5) × 30 × dailyRate
Raw Indemnity = First5 + Beyond5
```

18-Month Cap

```
Cap = Total Remuneration × 18
Final Indemnity = min(Raw Indemnity, Cap)
```

Resignation Multiplier

Tenure	Multiplier
Less than 3 years	**0%** (no indemnity)
3–5 years	**50%**
5–10 years	**66.67%**
10+ years	**100%**

> *[!IMPORTANT] The resignation multiplier only applies to voluntary resignation. Termination by employer always pays 100% of the calculated indemnity.*

Leave Encashment

```
Remaining Annual Days = Annual Entitlement - Annual Used
Leave Payout = Remaining Days × Daily Rate
```

Total Settlement

```
Total = Final Indemnity + Leave Payout
```

7.2 Remuneration Definition

For EOSB purposes, **Total Remuneration** includes:

- Basic Salary
- All allowances (Housing + Non-Housing, both Fixed and Percentage-based)

```
Percentage Allowance Value = Basic × (Percentage / 100)
Total Remuneration = Basic + Sum(All Allowances)
```

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8. Finance & Journal Vouchers SOP

8.1 Chart of Accounts

The system maintains a configurable Chart of Accounts with:

- **Account Code** (e.g., 5100, 2200)
- **Account Name** (e.g., "Salary Expense", "PIFSS Liability")
- **Account Type**: `EXPENSE`, `LIABILITY`, or `ASSET`

8.2 Mapping Rules

Finance mapping rules define how payroll items map to GL accounts:

Rule Element	Description
`payroll_item_type`	Which payroll component (Basic, Housing, PIFSS, etc.)
`nationality_group`	`LOCAL` (Kuwaiti), `EXPAT`, or `ALL`
`gl_account_id`	Target GL account
`credit_or_debit`	`DR` (Debit) or `CR` (Credit)

8.3 JV Generation Process

1. Select a finalized payroll run
2. System reads payroll items for all employees
3. For each payroll item type, lookup the mapping rule
4. Generate journal entries with cost center allocation
5. Entries can be viewed via the Financial Rollup view

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9. Expense Claims SOP

9.1 Claim Submission

Employees can submit expense claims with:

- **Merchant** name
- **Amount** (KWD)
- **Date** of expense
- **Category** (Travel, Meals, Supplies, etc.)
- **Receipt** (photo upload)

9.2 Approval Flow

`Draft` → `Pending_Manager` → `Pending_HR` → `Pending_Payroll` → `Approved` → `Paid`

Each level can reject the claim with a written reason.

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10. Performance & Bonus SOP

10.1 KPI-Based Evaluation

1. Admin/HR creates **KPI Templates** per department/role
2. Each template defines KPIs with **weights** (must sum to 100%)
3. Evaluators score employees on each KPI (0–100)
4. **Total Score** = Σ(KPI Score × Weight)
5. **Pro-rata Factor** applied for partial-period employees
6. **Calculated KWD** = Score-based bonus amount

10.2 Evaluation Workflow

`PENDING_EXEC` → `PENDING_HR` → `APPROVED_FOR_PAYROLL` → `PROCESSED`

10.3 Profit Sharing Bonus

1. Executive creates a **Profit Bonus Pool** with:
    - Period name
    - Total net profit
    - Recommended pool percentage
    - Distribution method (`EQUAL_SPLIT` or `PRO_RATA_SALARY`)
    - Eligibility cutoff date
2. Executive approves the pool
3. System auto-allocates to eligible employees
4. HR processes payments

Pool Status: `DRAFT` → `EXECUTIVE_APPROVED` → `HR_PROCESSED` → `PAID`

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11. Admin Operations SOP

11.1 Admin Center Functions

Function	Description

Sync Data Tables	Re-syncs employee, payroll, and configuration data
Generate Historical Attendance	Creates simulated attendance records for testing
Calculate OT from Logs	Processes attendance records to generate overtime entries
Rollback Payroll	Deletes a payroll run and associated records
Manage Announcements	Create, edit, delete company-wide announcements
Office Locations	Manage geofenced office locations
Public Holidays	Manage holiday calendar
Department Configuration	Manage department metrics and Kuwaitization ratios
Expense Claims Management	Review and process expense claims

11.2 Database Maintenance

> *[!CAUTION] The SQL Terminal in Admin Center executes raw SQL against the production database. Only authorized Admin users should have access.*

11.3 User & Role Management

- Only the **Admin** role can access the **Security & Roles** module
- Role permissions can be customized per view/feature
- Permissions are stored in the `role_permissions` table
- Database-level permissions override default sidebar access rules

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This document is maintained by the HR Portal development team. For questions, contact the system administrator.